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LEVEL 1 EXAM: SAMPLE QUESTIONS

This set of sample questions is provided as a resource for candidates who are preparing for the RIBO Level 1: Entry-Level Broker Exam.

These questions are retired exam questions that were previously used on RIBO examinations. While they are no longer active exam questions, they reflect the types of content, competencies, and cognitive levels assessed.

Although the questions are drawn from the Level 1 exam, they may also be helpful for candidates preparing for:

- Equivalency – RIBO Act, Regulations & By-Laws Exam
- Equivalency – RIBO Ontario Automobile Exam

Each equivalency exam assesses one content domain that is also tested within the Level 1 exam. As a result, there is overlap in competencies.

Your performance on these sample questions will NOT predict your success or failure on the exam.

The sampling of questions is not balanced to the Level 1 exam blueprint, but features questions that test the different content domains, competencies, and cognitive levels covered in the exam.

Note: The Review Information shown after each question is **not provided in the exam**. The appearance of the exam may vary depending on the online platform or in-person format and may differ from what is presented here.

LEVEL 1: ENTRY-LEVEL EXAM SAMPLE QUESTIONS

Question 1. Which form of coverage could protect your client against a loss due to the dishonesty of an employee?

- A. A 3-D bond.
- B. A burglary policy.
- C. A theft policy.
- D. A hold-up policy.

Review Information
- **Correct Option:** *A*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 2. According to the Personal Information Protection and Electronic Documents Act (PIPEDA), what is considered a commercial activity?

- A. An act or conduct that is of a commercial character.
- B. Any commercial transaction that does not involve a non-profit organization.
- C. A commercial client with more than one commercial transactions in a year.
- D. Transfer of money for goods or services, but not for real property.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Knowledge

Question 3. What is a possible effect of a "Co-insurance Clause" on the settlement of a loss?

- A. It may increase the amount to be paid by the insurer.
- B. It may affect the third party in a liability claim.
- C. It may decrease the amount to be paid by the insurer.
- D. It may affect the insured's personal liability coverages.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 4. Which class of insurance is designed to indemnify a business for loss of income due to fire damage to building, stock and equipment?

- A. Accident and Sickness insurance.
- B. Business Interruption insurance.
- C. Property insurance.
- D. Liability insurance.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 5. Bob is operating a restaurant in downtown Toronto. He always keeps cleanliness of the restaurant and safety of his customers in mind. Angela, whose left leg was in a cast, visited the restaurant. She slipped and fell and injured herself. If Angela files a lawsuit against the restaurant, what type of liability is this?

- A. Commercial General Liability.
- B. Automobile Liability.
- C. Contract Liability.
- D. Personal Liability.

Review Information
- **Correct Option:** *A*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 6. An insurance Broker agreed to bind liability coverage, the premium for which the applicant promised to pay the following week. Before any payment was made, a claim was made by a third party. What special action, if any, would the insurer take?

- A. Obtain a signed “Waiver of Subrogation” from the applicant/insured.
- B. Deny the claim because no premium had been paid.
- C. Investigate the claim but take no further action.
- D. Respond to the claim in accordance with the coverage bound by the Broker.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 7. According to the RIBO Code of Conduct, which of the following principles should Brokers apply in their professional conduct?

- A. Recommend the lowest-cost policy to all clients regardless of their needs.
- B. Prioritize personal financial gain over client interests.

- C. Accept gifts that could influence professional judgement.
- D. Disclose conflicts of interest to all relevant parties.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Knowledge

Question 8. A client who owns ABC Accounting calls their Broker as they are very concerned about their systems potentially being hacked resulting in a data breach. What type of policy should the Broker sell to ABC Accounting?

- A. Errors and Omissions.
- B. Cyber.
- C. Commercial.
- D. Directors and Officers.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 9. Which of the following statements is TRUE with respect to the Tenants Comprehensive policy?

- A. Liability coverage includes Legal Liability for unintentional damage by fire, explosion, water and smoke damage to principal residence premises.
- B. Watercraft not otherwise described or limited are covered up to $5,000.
- C. Jewellery and furs are covered only when scheduled.
- D. Tenant's improvements are not insured.

Review Information
- **Correct Option:** *A*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 10. The Replacement Cost clause in a Comprehensive Condominium Unit Owners insurance policy stipulates the basis of payment of a claim in the event of a loss to Improvements and Betterments. Which of the following conditions does NOT apply?

- A. Any increased cost of repair or replacement due to construction by-laws will not be paid.

- B. The insurer will pay the full replacement cost of the damage without deduction for depreciation provided repair or replacement is made with materials of similar quality within a reasonable time after damage occurs.
- C. The insurer will pay nothing until the property has been repaired or replaced within a stipulated period.
- D. The insurer will pay only Actual Cash Value if you decide not to repair or replace the damaged property.

Review Information

- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 11. Dawn, a Personal Lines Broker, receives a request from an existing Home and Auto client for a Cyber insurance quote for their large IT business. Dawn has limited experience with Cyber insurance and this risk falls outside her usual Personal Lines practice. What should Dawn do next?

- A. Collect the Application data from the client and submit it to the Insurer for a quote, advising the client it may take longer than usual to obtain pricing.
- B. Learn about Cyber insurance first to understand the Risk before calling the client.
- C. Have the client complete the application themselves in order to obtain a quote from the insurance company.
- D. Refer the client's Cyber insurance risk to a specialist at the company and stay involved in the process as a learning experience.

Review Information

- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Application

Question 12. Which of the following incidents is covered under the Liability Section of a Homeowners policy?

- A. Damage to the insured's golf cart while in use on the golf course.
- B. Damage caused by the insured's 30 foot sailboat while under sail.
- C. Damage to watercraft not owned by an insured being used with the owner's consent.
- D. Damage caused by watercraft equipped with a 14 h.p. outboard motor.

Review Information

- **Correct Option:** *D*

- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 13. Kelly, a Broker, is trying to generate new leads. She posts on Instagram that anyone who purchases a policy from her until the end of the month will receive a $50 gift card. Is this allowed?

- A. Yes, because it is under the $100 giveaway limit set out by RIBO.
- B. No, Kelly cannot offer giveaways over $20.
- C. No, because it is tied to the purchase of the policy.
- D. Yes, but Kelly can only give out 2 gift cards as after that, she will be exceeding the $100 limit.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Application

Question 14. Which statement is TRUE about coverage for loss or damage caused by an earthquake?

- A. It is not available under a property insurance policy.
- B. It is automatically included under the extended perils of a property policy.
- C. It is an "Act of God" and not insurable.
- D. It is a peril that may be covered under a property policy by endorsement for an additional premium.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 15. What is NOT considered an act of Misconduct while advising a client?

- A. Provide the client with a quote based on their initial request.
- B. Provide an honest and professional recommendation to the client.
- C. Listen to the client and act in accordance with their instructions.
- D. Recommend the client take the insurance quote which better serves the Broker's interest.

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance

- **Cognitive Level:** Knowledge

Question 16. As a result of an automobile accident, John, the insured, was sued and the plaintiff was awarded $2 million. John was told that the limit on his policy is $1 million. John asks for the completed and signed automobile application. When the Broker retrieves the application, signed a year ago, they notice that the limit stated was in fact $2 million. What should the Broker do?

- A. Modify the original application to $1 million.
- B. Send the application to John and acknowledge the error.
- C. Contact the insurer to correct the policy as per application and advise the adjuster.
- D. Inform John that he needs to pay the outstanding $1 million.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Application

Question 17. Which of the following statements MOST accurately describes a special feature of the Condominium Unit Owners Comprehensive Policy?

- A. It provides additional coverage for damage to the owned condominium unit if the Condominium Corporation's insurance is inadequate or is not effective.
- B. It provides additional insurance protection for the Condominium Corporation in the event of an uninsured loss.
- C. It amends the Tenants Comprehensive policy to include that which is usual to a condominium.
- D. It adds the condominium corporation as an additional named insured with respect to liability coverage.

Review Information
- **Correct Option:** *A*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 18. As a busy Broker managing multiple client portfolios, you receive a policy update request, a follow-up from a prospect, an urgent team meeting notice, and an IT maintenance alert requiring a backup. Which task should you prioritize first to avoid disruptions?

- A. Update the client's policy as they need the changes implemented immediately.

- B. Follow up with the prospective client to secure new business opportunities.
- C. Attend the urgent team meeting to stay informed about important company decisions.
- D. Back up all important files in response to the IT system alert to prevent data loss.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Information Management
- **Cognitive Level:** Application

Question 19. According to the the Registered Insurance Brokers Act (RIB Act), which activities would require someone to register as an insurance Broker with RIBO?

- A. A person negotiating a contract of insurance on behalf of multiple insurers.
- B. An individual offering underwriting services to an insurance company for a fee.
- C. A person employed by a single insurance company to promote their products.
- D. An individual acting as a claims adjuster for multiple insurance policies.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Knowledge

Question 20. Ontario Regulation 991 requires that a member's only business or employment be that of an insurance Broker. Which of the following would NOT be considered in contravention of this regulation?

- A. The preparation of income and sales tax forms for clients of the Broker for a nominal fee.
- B. Engaging in estate planning within the terms of their life insurance agent's licence.
- C. Making an arrangement with an automobile salesman to provide each other with the names of prospects for their respective firms for an agreed fee for each successful transaction.
- D. Offering one's services to the public to negotiate claims against insurers under insurance policies.

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 21. Under which of the following circumstances do RIBO Regulations NOT require a member to declare the member's relationship with an insurer?

- A. When the insurer directly or indirectly holds less than 10% of the voting rights attached to all voting securities of the member.
- B. When either an insurer or the member directly or indirectly holds shares with more than 10% of the voting rights attached to all voting securities of the other.
- C. When an insurer has indirect common ownership with the member.
- D. When the member knowingly solicits insurance with an insurer holding direct control of the member in excess of 10% of all voting shares of the member.

Review Information

- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 22. The Liability section of a Homeowners Comprehensive policy does NOT insure against claims arising out of the ownership or use of which of the following?

- A. A watercraft equipped with a 15 h.p. outboard motor.
- B. An inboard-outboard watercraft equipped with a 45 h.p. motor.
- C. A self-propelled snow blower used for clearing insured's driveway.
- D. A part of the insured's residence as a commercial workshop.

Review Information

- **Correct Option:** *D*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 23. John, an insurance Broker, receives a phone call from someone claiming to be a client requesting specific details about their policy. The caller insists they have forgotten their policy details and need the information urgently. John recalls the importance of maintaining client confidentiality and the regulations outlined by RIBO. Which action should John take to comply with RIBO's ethical standards and ensure trust is maintained while handling this situation?

- A. Ask for specific personal details to validate the caller's identity before discussing policy information.
- B. Send the information to the email on file for the client after confirming the email's authenticity.
- C. Pass the call to a senior colleague who might better handle such requests.

- D. Politely decline to provide any information until the caller submits a written request.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Application

Question 24. The Personal Articles Floater form is an "All Risks" form used to specifically insure certain valuable items. Which of the following special conditions apply to the Personal Articles Floater?

- A. No valuation is required as items are scheduled on a "valued" basis.
- B. Damage caused to a fur coat by moths is covered.
- C. Wear, tear and depreciation are covered.
- D. Limited automatic cover is provided up to thirty (30) days on articles additionally acquired by the insured of the same type already covered in the floater.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 25. Which business does NOT need a garage policy?

- A. Parking operations.
- B. Automobile dealers.
- C. Taxi stand operators.
- D. Service operations.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Commercial Lines
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 26. Income Replacement Benefits under "Section 4 – Accident Benefits Coverage" of O.A.P. 1 Owner's Policy are available to ONLY which claimant, as of the date of accident?

- A. An insured whose gross income is $400 per week and who was employed for twenty (20) of the fifty-two (52) weeks before the accident.
- B. An insured on pregnancy leave from temporary employment, but intends to continue with the same job after the pregnancy leave.

- C. An insured whose gross income is $500 per week and who has a group benefit plan that will pay $400 a week starting after seven (7) days.
- D. An insured laid-off worker who has a written contract that was made before the accident to start a new job within one (1) year.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Personal Lines Automobile
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 27. RIBO By-Law No. 3 outlines the requirements relating to the application for a certificate of registration and information changes. Which change MUST be reported to RIBO?

- A. A promotion within the office with a significant annual pay raise.
- B. A change in their earnings irrespective of any promotion within the office.
- C. A change in employment from one brokerage to another.
- D. If they commence to write commercial lines insurance.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Knowledge

Question 28. A building worth $100,000 is insured for $60,000 under a policy with a ninety percent (90%) co-insurance clause. Fire damages the building to the extent of $93,000. How much would the insurer pay?

- A. $48,000
- B. $50,000
- C. $60,000
- D. $62,000

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Application

Question 29. Your insureds occupy a single family detached dwelling. For economic reasons, they are considering renting the finished basement to a tenant. What effect will this have on their Homeowners Policy?

- A. None at all. Renting part of a dwelling is not considered a commercial activity.

- B. They will have to install a smoke detector in the basement and the policy will then be in full force.
- C. The policy will have to be cancelled and re-issued on a Secondary Dwelling form.
- D. The policy must be endorsed to declare it is no longer a single family, owner-occupied dwelling.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 30. What is the definition of "deductible"?

- A. It is a specified amount to be subtracted from the amount of an insured loss and assumed by the insured.
- B. It is a variable amount by which a property claim is reduced to reflect the age of the damaged property.
- C. It is a stated percentage of its value to which a property must be insured; otherwise the insured must assume the loss.
- D. It is an agreed specified sum above which claims are paid in full but below which no payments are made.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 31. Which is the "lessor" of a building?

- A. It is the owner who rents to a tenant.
- B. It is the owner who occupies an entire building.
- C. It is the tenant of a building.
- D. It is the agent managing the building on behalf of the owner.

Review Information
- **Correct Option:** *A*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 32. Every insurance policy provides for termination of a policy by either the insurer or by the insured. When will cancellation take effect if the insured person wishes to cancel a policy?

- A. On the date the policy or Lost Policy Voucher is signed off by the insured.
- B. Thirty (30) days after receipt of a registered letter requesting cancellation.
- C. Ten (10) days after a written request has been delivered to the insurer.
- D. As soon as the insured receives payment of any return premium due.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Consulting and Advising
- **Cognitive Level:** Knowledge

Question 33. A local automobile dealer offers to pass leads to you as a registered insurance Broker when cars are sold to customers who require automobile insurance. In return, the customer wants the premium for their spouse's car automobile insurance to be reduced. How would you respond to this request?

- A. Under RIBO regulations, I can certainly reduce the premium up to the amount of the commission to a person who is not listed under Ontario Regulation 991, Section 15 (12).
- B. Under RIBO regulations, I can pay you a referral fee equal to the first year's premium only, but cannot directly reduce the premium of your spouse's car automobile insurance for the subsequent years.
- C. Under RIBO regulations, I am prohibited from paying a finder's fee to a person who is not licensed or registered as a general insurance intermediary or who is not listed under Ontario Regulation 991, Section 15 (12).
- D. Under RIBO regulations, I cannot directly reduce the premium of your spouse's car automobile insurance , but I can give your spouse a free home security system instead.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Comprehension

Question 34. Which type of insurance policy does NOT contain Statutory Conditions?

- A. Fire insurance policy.
- B. Accident and sickness insurance policy.
- C. Commercial general liability policy.
- D. Automobile insurance policy.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge

- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 35. An insured calls during lunch hour and the only person in the office is the mailroom clerk who is not a registered insurance Broker. The insured wants to know if the insured has collision coverage on the automobile. What should the clerk do to comply with the Registered Insurance Brokers (RIB) Act?

- A. Pull the file and disclose to the insured that the insured is covered. The clerk should not wait for the avalibility of a qualified person who can answer such questions.
- B. Tell the insured there is no one available to discuss the insured's problem at the moment, but a registered insurance Broker will get back to the insured.
- C. Tell the insured they have collision coverage, but inform that clerks cannot explain the amount deductible nor the limit of coverage due to limited access to important documents.
- D. Explain that clerks have limited access to such information, and ask the insured to call the insurer where a more qualified person will be available to answer any questions.

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 36. John owns a building valued at and insured for $300,000. John sells Tom and Andy each an equal one-third (1/3) share. None of them thinks to inform the Broker or insurer of the change in ownership. Six (6) months later the building is destroyed by fire. How much would John be entitled to collect?

- A. $280,000
- B. $300,000
- C. $240,000
- D. $100,000

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 37. Which clause in a property insurance policy does NOT affect the amount of settlement an insured would receive as a result of an insured loss?

- A. Co-insurance clause.
- B. Deductible clause.
- C. Pro-rata distribution clause.
- D. All perils rider.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 38. One of the tenants in an insured's rented triplex intentionally causes a fire and is charged with arson. The insurer decides to cancel the policy mid-term. What procedure MUST the insurer follow to legally cancel the policy?

- A. Insurer can cancel in five (5) days by written notice of termination personally delivered and any return premium paid to insured.
- B. Insurer cannot cancel the policy mid-term and must remain on risk until the renewal date.
- C. Cancellation can only be made fifteen (15) days following receipt of cancellation notice by registered mail.
- D. Policy must remain in force but any additional damage done by the tenant will not be covered.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Critical and Analytical Thinking
- **Cognitive Level:** Comprehension

Question 39. Insurance Brokers who hold a RIBO Level 1 License may ONLY perform which activity?

- A. Engage in the sale of insurance anywhere in Ontario providing the transaction is conducted on behalf of the Broker under whose supervision they act.
- B. Establish a trust account and pay the supervising Principal Broker on a monthly account current basis.
- C. Place business on their own behalf with any insurer providing permission has been given by the Principal Broker under whose supervision they act.
- D. Hold themselves out to the public as insurance Brokers, conditional upon filing an Errors & Omissions policy and Fidelity Bond with RIBO.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge

- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 40. Statutory Conditions in an insurance policy are established for the protection of both the person insured and the insurer. Which is NOT the subject of a Statutory Condition?

- A. Knowingly making false statements.
- B. Details about when and how to make a claim under the policy.
- C. Method by which the policy may be terminated by either the insured or the insurer.
- D. Time limit in which premium must be paid.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 41. While on vacation in the U.S.A. your insured's Cadillac is damaged in an accident with a Georgia registered automobile, insured for minimum limits of $15,000/$30,000 Bodily Injury, and $10,000 Property Damage Liability. The Georgia driver is one hundred percent (100%) liable for $20,000 damage to your insured's automobile. Your insured has an O.A.P. 1 Owner's Policy including Direct Compensation-Property Damage with standard deductible, OPCF 44R-Family Protection Coverage but no Collision insurance. How would the claim be paid?

- A. $19,500 under the insured's Direct Compensation-Property Damage coverage.
- B. Nothing under the OPCF 44R and $10,000 under the Georgia policy.
- C. $10,000 under the OPCF 44R and $9,500 under Direct Compensation-Property Damage coverage.
- D. $10,000 under the OPCF 44R and $10,000 under the Georgia policy.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Personal Lines Automobile
- **Competency:** Claim Services
- **Cognitive Level:** Application

Question 42. If an insurer discovers a misrepresentation has been made by an insured or a Broker, the insurer may take steps to rectify the situation. Which step is the insurer NOT permitted to take if the misrepresentation is material to the risk?

- A. Continue the contract as it stands.

- B. Re-rate the risk and continue the contract for an additional premium.
- C. Cancel the contract and retain the entire premium paid as a penalty to the insured.
- D. Void the contract and return the paid premium in full.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Risk Identification, Assessment, and Classification
- **Cognitive Level:** Comprehension

Question 43. Additional Conditions of a Personal Property Policy include a reference to Parts. Which statement about "Parts" is CORRECT?

- A. If a property is made up of several parts, loss or damage to any one or more parts will be considered loss or damage to the entire property.
- B. If a property consists of several parts, each part must be scheduled individually in the policy, otherwise only a total loss will be recoverable.
- C. If a property consists of several parts, the insurer is only liable for the insured value of the lost or damaged part, including the cost of installation.
- D. If a property consists of several parts, the insurer is only liable for the proportion of the total value of the property which the number of damaged or lost parts bears to the total number of parts in the property.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 44. After a loss, the insured is required to submit a "Proof of Loss" form to the insurer. What is its purpose?

- A. It is the receipt given to the insurer by the insured following payment of the claim in full.
- B. To provide fire and theft statistics to government.
- C. It requires the insured to describe the damaged property and estimate its value.
- D. It protects the insurer from paying twice for the same damaged property.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Claim Services
- **Cognitive Level:** Knowledge

Question 45. RIBO By-Law No. 3 requires a member to notify RIBO of any changes in information contained in any document filed with the Manager. Which statement regarding such changes is CORRECT?

- A. Any changes in status are to be reported only at the time of each renewal of registration.
- B. Any changes in the individual's status must be included in the next position report filed by the individual's employer.
- C. If any information on the original application for registration or renewal has become obsolete, including a change in employer, a notice correcting that information shall be filed with RIBO within ten (10) days of the change.
- D. All individuals must confirm, in writing, every three (3) months to RIBO that there has been no change in the information originally filed.

Review Information

- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 46. Which statement is TRUE about certain insurers?

- A. A stock company is owned jointly by the insureds.
- B. The Facility Association is an insurance cooperative.
- C. Lloyd's of London is NOT an insurance company.
- D. Mutual insurance companies are NOT required to be licensed by the Department of Insurance.

Review Information

- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 47. Upon successful completion of the examination, you may qualify for registration as an insurance Broker. If issued, the registration will be "RIBO Level 1." Which statement MOST accurately describes the conditions under which a RIBO Level 1 may act?

- A. You may not act as a sole proprietor, may not be designated as a Principal Broker, and may not have authority over trust funds.
- B. You may operate a trust account under the supervision of a Principal Broker.
- C. You may solicit insurance only through your employing Brokerage's physical office.

- D. You may solicit insurance both inside and outside the office, subject to brokerage policies and supervision.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 48. Your insured resides in a frame dwelling. A local by-law requires that if the dwelling is totally destroyed, it must be rebuilt with masonry construction. Would special attention be required for your insured's Homeowners policy?

- A. No, the Homeowners policy automatically provides for increased costs stipulated in a by-law.
- B. Yes, the appropriate by-law endorsement must be added and the amount of insurance must be increased to cover the cost of masonry construction.
- C. Yes, the appropriate by-law endorsements must be added to the policy.
- D. Yes, a Replacement Cost endorsement must be added to the policy.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Application

Question 49. A contract of insurance to indemnify the insured in the event of loss will NOT provide which form of payment to the insured?

- A. Compensation for the loss or expenses incurred.
- B. Reimbursement for the amount of the loss up to the limit of the policy.
- C. Restoring the insured as nearly as possible to the insured's position before the loss.
- D. Reimbursement for the replacement cost of the property damaged or destroyed.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 50. What is the Actual Cash Value of an item?

- A. It is the cost to replace it with similar, new item.

- B. It is the amount it would sell for on the date of loss.
- C. It is the cost to replace it with a similar item in similar condition.
- D. It is the cost when first bought by the insured.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 51. Which statement BEST describes the status of a driver of an automobile who is insured under Workers' Compensation and is injured in an accident?

- A. Benefits will be paid under the Accident Benefits section of the driver's O.A.P.1 Owner's Policy.
- B. The driver may choose to sue the person liable for the accident instead of applying for Workers' Compensation benefits.
- C. The driver's O.A.P.1 Owner's Policy becomes secondary to the Workers' Compensation benefits.
- D. The driver may not claim against their own O.A.P.1 Owner's Policy insurer.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Personal Lines Automobile
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 52. The Registered Insurance Brokers (RIB) Act of Ontario states, "An insurance Broker means any person who for any compensation, commission or other thing of value, with respect to persons or property in Ontario, deals directly with the public…etc." Which is EXEMPT from the provisions of the RIB Act?

- A. An individual who for compensation solicits or negotiates a contract of insurance directly with the public on behalf of more than one (1) insurer.
- B. Operations where risk management services and claims assistance only are provided.
- C. Organizations where consulting or advisory services with respect to insurance or reinsurance are provided.
- D. An individual who acts solely on behalf of one (1) insurer or affiliated group of insurers and the Facility Association.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge

- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 53. Which practice is NOT considered to be "misconduct"?

- A. The use of an illustration circular or memorandum that is incomplete and does not clearly represent the terms, benefits or advantages of any policy.
- B. The use of any incomplete comparison of any policy or contract of the insurance with that of another insurer for the purpose of inducing an insured to lapse, forfeit or surrender a policy or contract.
- C. Quoting an insurance premium to a policy holder or prospective policy holder that is less than a competitor's quotation with the intention of influencing the placing of an insurance policy or renewal.
- D. Advertising, or carrying on business in any other manner than the name in which the firm is registered.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Comprehension

Question 54. Zoning by-laws in the area where your insured resides are changed to permit commercial occupancy. Your insured decides to open a small restaurant in the basement of their home. What is the effect of this change on coverage under your insured's Homeowners policy?

- A. The policy will not apply unless it contains a by-laws Endorsement.
- B. The policy will not apply until the insured installs automatic fire protection equipment in the kitchen.
- C. It is a change material to the risk and failure to notify the insurer could impair the coverage.
- D. The replacement cost clause will no longer apply to the risk.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Application

Question 55. Your insured opens a welding shop in their private garage and calls you to ask if it affects their Homeowner's policy. What should be your reply?

- A. It does not affect the policy as the garage is included in the property covered.

- B. Call back in three (3) months. If business is good you will arrange new policies.
- C. You must advise the insurer and arrange separate cover immediately.
- D. You will make a note in the file to re-issue the policy when next due to renew.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Consulting and Advising
- **Cognitive Level:** Application

Question 56. Which is considered a "hazard" for insurance purposes?

- A. A claims-free history.
- B. Bare electrical wires.
- C. Plans to computerize the office.
- D. Car drivers under the age of twenty-five (25).

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 57. Freezer Foods Coverage provides for payment of loss caused by spoilage of frozen foods contained in your food freezer on your premises. Which condition applies to this coverage?

- A. It is provided on an "All Risks" basis.
- B. It covers actual cash value at current market prices up to $5,000 less deductible.
- C. It covers only loss caused by mechanical breakdown of the freezer or accidental outside power interruption.
- D. It excludes loss due to interruption of Hydro service.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 58. When information contained on a form filed with RIBO becomes obsolete, a notice of the change correcting the information must be filed within ten (10) days of the change taking place. Which change does NOT require reporting to RIBO?

- A. A change in the Broker's earnings.
- B. The Broker-employee leaves a firm.

- C. A change of employment by a Broker from one brokerage firm to another occurs.
- D. A new broker is employed by a Broker firm.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 59. A local builder offers to place with you insurance on every house the builder builds while it is under construction. In return, the builder wants you to allow the builder twenty percent (20%) discount off the premium required by insurers. How would you respond to comply with RIBO Regulations?

- A. You can only allow a five percent (5%) discount because of your overhead and expenses.
- B. You will pay the builder a flat $10.00 fee for each house, but it is contrary to RIBO Regulations to discount the premium.
- C. You refuse to pay the builder anything, since it would contravene RIBO Regulations.
- D. You offer the builder a twenty percent (20%) premium refund for those houses that have no claims while under construction.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Professionalism, Integrity, and Ethics
- **Cognitive Level:** Comprehension

Question 60. Which activity is permitted for a RIBO Level 1 licensee?

- A. Operate a trust bank account for insurance premiums.
- B. Prepare and sign RIBO Position reports on behalf of the insurance Broker by whom the insurance Broker is employed.
- C. Solicit insurance from members of the public anywhere in Ontario.
- D. Act as a “Principal Broker” as defined in Ontario Regulation 991.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 61. A building worth $80,000 is insured for $40,000 under a policy with an eighty percent (80%) co-insurance clause. Fire damages the building to the extent of $65,000. How much would the insurer pay?

- A. $64,000
- B. $40,625
- C. $40,000
- D. $52,000

Review Information

- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Critical and Analytical Thinking
- **Cognitive Level:** Application

Question 62. Which statement is TRUE regarding Statutory Conditions in a Property policy?

- A. It is dictated by government legislation.
- B. It is set out in the Registered Insurance Brokers (RIB) Act.
- C. It is set by each individual insurer.
- D. It is approved by the Insurance Bureau of Canada.

Review Information

- **Correct Option:** *A*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 63. Your insured's automobile is damaged by another automobile owned and driven by insured's brother. The brother is found responsible for the $1,000 damage but does not carry any automobile insurance. Your insured carries a standard O.A.P. 1 Owner's Policy with Liability, standard Accident Benefits, Uninsured Automobile and Direct Compensation-Property Damage, but with no Collision coverage. How much will your insured's policy pay?

- A. Nothing, as your insured had no collision insurance.
- B. Nothing, since the other driver is related to the insured.
- C. $500
- D. $1,000

Review Information

- **Correct Option:** *C*
- **Content Domain:** Personal Lines Automobile
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Application

Question 64. Which is a "mortgagor" with respect to insurance?

- A. The named insured.
- B. The contractor who completes repairs to an insured property.
- C. The finance company to whom money is owed.
- D. The person who holds the mortgage.

Review Information

- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 65. Your insured decides to install a recreation room in the basement of the house. Which statement would BEST describe the coverage under the insured's Homeowners Comprehensive Policy?

- A. The insurer must be notified, otherwise any loss involving the building will not be covered.
- B. Losses to the recreation room will not be covered unless the insurer has been advised of the change.
- C. It will not affect coverage under the policy.
- D. If the policy covers Sewer Back-up, that peril will no longer be insured.

Review Information

- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 66. Replacement Cost and Actual Cash Value are two different bases of indemnification for loss. Which statement about Replacement Cost and Actual Cash Value is INCORRECT?

- A. Replacement Cost is a "new" value but Actual Cash Value is a "used" value.
- B. Both values must be based on items of like kind and quality to the damaged property.
- C. Replacement Cost is usually paid only when replacement of the damaged property has been completed.
- D. Actual Cash Value is the depreciated value shown in the Balance Sheet of a Financial Statement.

Review Information

- **Correct Option:** *D*

- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 67. Which describes a "Valued" policy?

- A. A policy which states the subject matter is valued at and insured for a stated amount, which will be paid in the event of a total loss.
- B. A policy which pays the full policy limit for all losses.
- C. The policy issued by the insurer to a client of a valued Broker.
- D. The value of the investment dollars earned on premiums by an insurer to offset underwriting loss.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 68. Which Continuing Education (CE) category MUST be completed by all licensed Brokers?

- A. 6 hrs Professional Development.
- B. 1 hr Management.
- C. 1 hr Ethics.
- D. 6 hrs Technical.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Knowledge

Question 69. Which amount MUST be established when there is a co-insurance clause in a replacement cost policy?

- A. The actual cash value of the property.
- B. The replacement cost of the property.
- C. The amount which could be obtained for the property in a sale.
- D. The original cost of the property.

Review Information
- **Correct Option:** *B*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 70. The contents of a building are valued at $200,000 but insured for only $120,000. The policy insuring the contents has a ninety percent (90%) co-insurance clause and a $1,000 deductible clause. A fire totally destroys everything. How much would the policy pay?

- A. $120,000
- B. $119,000
- C. $80,000
- D. $79,000

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Critical and Analytical Thinking
- **Cognitive Level:** Application

Question 71. All clients should be counselled regarding the availability of enhancement options available under Ontario Automobile Policy (O.A.P. 1) Owner's Policy. Which is an available enhancement?

- A. Income Replacement Benefit weekly limit to $1,500.
- B. Funeral Benefits maximum to $10,000.
- C. Caregiver Benefit available for all injuries.
- D. Attendant Care only for non-catastrophic injuries.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Automobile
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 72. Which statement BEST defines a “mortgagor”?

- A. It is the one who owes the money.
- B. It is the one to whom the money is owed.
- C. It is the insurer who must pay the money in the event of a claim.
- D. It is the document which shows the amount of money owed.

Review Information
- **Correct Option:** *A*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 73. Which liability coverage is intended to protect an insured who is planning to build a new home and will be sub-letting part of the work to subcontractors?

- A. Blanket contractual liability insurance.
- B. Employers liability insurance.
- C. Personal injury insurance.
- D. Contractor's protective liability insurance.

Review Information
- **Correct Option:** *D*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 74. Which statement BEST describes "subrogation"?

- A. It is the percentage of risk taken by each insurer on a subscription policy.
- B. It is the right of the insurer to seek recovery from the responsible party following payment of a loss.
- C. It is the co-insurance where more than one property is destroyed in the same fire.
- D. It is the insurer's right to deny a claim for misrepresentation.

Review Information
- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Knowledge

Question 75. RIBO Level 1 Licensee may NOT perform which activity?

- A. Sign letters to members of the public recommending insurance coverage.
- B. Solicit insurance except in the presence of their supervisor.
- C. Deposit insurance premiums in their own trust bank account.
- D. Collect premiums on behalf of the insurance Broker by whom they are employed.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 76. Which statement is TRUE for RIBO Level 1 Licensee?

- A. The Licensee can set up and establish their own firm, providing the Licensee arranges for another Broker to countersign their insurance policies.
- B. The Licensee can establish and maintain a trust account provided all transactions are made through an insurance Broker whose registration is not restricted.

- C. The Licensee cannot be a "Principal Broker" as that term is used in the regulation, nor may the Licensee act as a sole proprietor, nor may the Licensee control trust funds.
- D. The Licensee can solicit, negotiate and transact insurance only if accompanied by a RIBO Member registered without restriction.

Review Information
- **Correct Option:** *C*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Legal and Regulatory Compliance
- **Cognitive Level:** Comprehension

Question 77. Which statement is NOT correct?

- A. A stock insurance company is owned by its shareholders.
- B. A mutual insurance company is owned by its policyholders.
- C. Lloyd's of London is NOT an insurance company.
- D. Factory Mutuals sell insurance to factory employees.

Review Information
- **Correct Option:** *D*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 78. The "Freezer Foods Coverage" in a Comprehensive Tenant Package Policy covers spoilage of the contents of a food freezer unit caused by a change in temperature, subject to all of the following conditions EXCEPT which one (1)?

- A. The spoilage is caused by outside power interruption.
- B. The spoilage is caused by mechanical breakdown of the freezer.
- C. The freezer's electrical power plug is accidentally pulled out from its wall plug.
- D. Payment for the loss does not exceed the amount of $2,000.

Review Information
- **Correct Option:** *C*
- **Content Domain:** Personal Lines Habitational
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension

Question 79. The term fiduciary refers to individuals or organizations occupying positions of trust. Which would NOT be considered a "fiduciary"?

- A. An insurance company.
- B. A dry cleaning business.
- C. An insurance Broker.

- D. A bank.

Review Information

- **Correct Option:** *B*
- **Content Domain:** General Insurance and Industry Knowledge
- **Competency:** Insurance Product and Industry Knowledge
- **Cognitive Level:** Comprehension